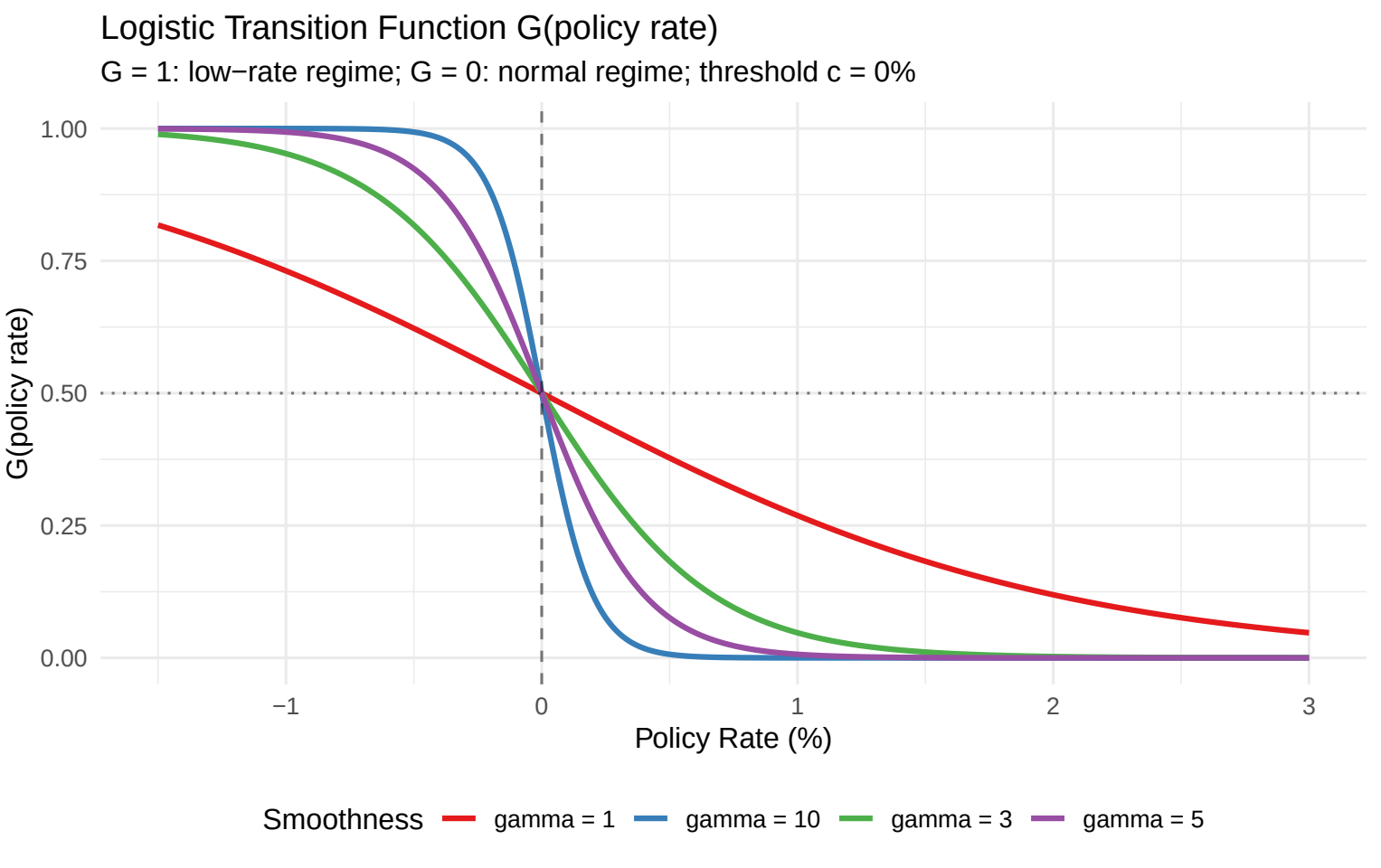
Logistic Transition Function G(policy rate)
G = 1: low−rate regime; G = 0: normal regime; threshold c = 0%
1.00
0.75
0.50
0.25
0.00
G(policy rate)
−1
0
1
2
3
Policy Rate (%)
Smoothness
gamma = 1
gamma = 10
gamma = 3
gamma = 5